THE INDIRECT METHOD FOR CASH FLOWS FROM OPERATING ACTIVITIES

Learning Outcome

- describe the steps in the preparation of direct and indirect cash flow statements, including how cash flows can be computed using income statement and balance sheet data

The alternative approach to reporting cash from operating activities is the indirect method. In this lesson, we reconcile Acme's net income to its operating cash flow using the indirect method.

Operating Activities: Indirect Method

To perform this reconciliation, net income is adjusted for the following: (1) any non-operating activities, (2) any non-cash expenses, and (3) changes in operating working capital items.

The only non-operating activity in Acme's income statement, the sale of equipment, resulted in a gain of USD205. This amount is removed from the operating cash flow section; the cash effects of the sale are shown in the investing section.

Acme's only non-cash expense was a depreciation expense of USD1,052. Under the indirect method, this depreciation expense must be added back to net income because it was a non-cash deduction in the calculation of net income.

Changes in working capital accounts include increases and decreases in the current operating asset and liability accounts. The changes in these accounts arise from applying accrual accounting—that is, recognizing revenues when they are earned and expenses when they are incurred instead of when the cash is received or paid. To make the working capital adjustments under the indirect method, any increase in a current operating asset account is subtracted from net income and a net decrease is added to net income. As described previously, the increase in accounts receivable, for example, resulted from Acme recording income statement revenue higher than the amount of cash received from customers. Therefore, to reconcile back to operating cash flow, that increase in accounts receivable must be deducted from net income. For current operating liabilities, a net increase is added to net income and a net decrease is subtracted from net income. As described previously, the increase in wages payable, for example, resulted from Acme recording income statement expenses higher than the amount of cash paid to employees.

Exhibit 24 presents a tabulation of the most common types of adjustments that are made to net income when using the indirect method to determine net cash flow from operating activities.

Exhibit 24: Adjustments to Net Income Using the Indirect Method

- Depreciation expense of tangible assets
- Amortization expense of intangible assets
- Depletion expense of natural resources
- Amortization of bond discount

- Non-operating losses
  - Loss on sale or write-down of assets
  - Loss on retirement of debt
  - Loss on investments accounted for under the equity method
- Increase in deferred income tax liability
- Changes in working capital resulting from accruing higher amounts for expenses than the amounts of cash payments or lower amounts for revenues than the amounts of cash receipts
  - Decrease in current operating assets (e.g., accounts receivable, inventory, and prepaid expenses)
  - Increase in current operating liabilities (e.g., accounts payable and accrued expense liabilities)

Subtractions

- Non-cash items (e.g., amortization of bond premium)
- Non-operating items
  - Gain on sale of assets
  - Gain on retirement of debt
  - Income on investments accounted for under the equity method
- Decrease in deferred income tax liability

- Changes in working capital resulting from accruing lower amounts for expenses than for cash payments or higher amounts for revenues than for cash receipts
  - Increase in current operating assets (e.g., accounts receivable, inventory, and prepaid expenses)
  - Decrease in current operating liabilities (e.g., accounts payable and accrued expense liabilities)

Accordingly, for Acme Corporation (using Exhibits 9 and 10), the USD55 increase in accounts receivable and the USD707 increase in inventory are subtracted from net income and the USD23 decrease in prepaid expenses is added to net income. For Acme's current liabilities, the increases in accounts payable, salary and wage payable, income tax payable, and other accrued liabilities (USD263, USD10, USD5, and USD22, respectively) are added to net income and the USD12 decrease in interest payable is subtracted from net income. Exhibit 25 presents the cash flow statement for Acme Corporation under the indirect method using the information that we have determined from our analysis of the income statement and the comparative balance sheets. Note that the investing and financing sections are identical to the statement of cash flows prepared using the direct method.

Exhibit 25:

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Cash flow from operating activities:	
Net income	USD2,210
Depreciation expense	1,052
Gain on sale of equipment	(205)
Increase in accounts receivable	(55)
Increase in inventory	(707)
Decrease in prepaid expenses	23
Increase in accounts payable	263
Increase in salary and wage payable	10
Decrease in interest payable	(12)
Increase in income tax payable	5
Increase in other accrued liabilities	22
Net cash provided by operating activities	2,606

Cash flow from investing activities:	
Cash received from sale of equipment	762
Cash paid for purchase of equipment	(1,300)
Net cash used for investing activities	(538)

Cash flow from financing activities:	
Cash paid to retire long-term debt	(500)
Cash paid to retire common stock	(600)
Cash paid for dividends	(1,120)
Net cash used for financing activities	(2,220)
Net decrease in cash	(152)
Cash balance, 31 December 2017	1,163
Cash balance, 31 December 2018	USD1,011

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Discussion

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PZ where does this figure come from "Cash received from sale of equipment = 762"?

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